

IN THE SLOW LANE

- Funding, launches, and policy support have accelerated, but there are few buyers
- Most companies still depend on overseas customers, particularly the US and Europe, while Indian demand remains narrow, fragmented and early-stage

standardised to 2024 dollars. The model uses launch vehicles' rated capacity, not the payload actually flown.

India's cost was more than four times the US's $3,225, and much higher than Europe's $9,897, Russia's $6,682, China's $5,809 and Japan's $5,287.

Even as India's private space industry has made remarkable progress on the hardest engineering problems, the harder test now is commercial.

According to Yashas Karanam, co-founder and COO of Bengaluru-based Bellatrix Aerospace, India has close to zero of the global commercial space market today and about 2% of the overall global market, which could reach 8-10% within a couple of years if this cohort of start-ups reaches commercialisation.

IN PURSUIT OF A MARKET

The meeting with the prime minister came against the backdrop of the best year yet for India's private space industry: the first unicorn in Skyroot, the first private orbital launch in Vikram-1, record fundraising—private investment in the sector has risen nearly three-fold since 2024, to $349 million by September 2026, according to Venture Intelligence—and two new government schemes.

But behind the milestones sits an uncomfortable reality. Before the sector opened to private participation in 2020, Isro was the only anchor for India's space industry. There was no private market. That has not changed much.

In the early 2010s, Rohan Ganapathy and his mates at Coimbatore's Hindusthan College of Engineering & Technology were experimenting with a water-based electric thruster for small satellites as a student project. The turning point came when the then Isro Chairman A.S. Kiran Kumar saw their test results and asked them to present to Isro. The presentation led to the first order for the thruster. To fulfil that order, Ganapathy and his co-founders, including Karanam, incorporated Bellatrix Aerospace in 2015. However, over the next decade, Bellatrix found that both its suppliers and customers were outside India. Importing parts, integrating and testing them at home, then selling the finished product back to Europe or the US was not sustainable. So it started building propulsion systems in-house.

"Most of our money is coming from export orders right now, and we are in the process of scaling up manufacturing," says Karanam, adding that Bellatrix's goal is to become the world's number one or two propulsion supplier through vertical integration.

Bellatrix designs and tests its systems at its headquarters in Bengaluru and a propulsion lab at the Indian Institute of Science, and has a capacity for 250–300 systems a year. It plans to build a $76-million factory on a five-acre site at the KIADB Aerospace Park near Bengaluru airport. Karanam says doubling capacity again will take around $100 million.

Bengaluru-based Pixxel went through a similar experience. When the hyperspectral earth observation company started in 2019, it set up an entity in the US alongside the one in India.

"That's where the budgets were. We had opportunities in the US and Germany, which were countries that would give you licences if you set up some local presence there," says co-

GOVERNMENT SPACE SPENDING

$78 BN
UNITED STATES

$19 BN
CHINA

$1.4 BN
INDIA

NOTE DATA FOR 2025
SOURCE SPACE FOUNDATION